

Lessons from the 1970s help U.S. and global economies absorb oil shocks

Economies are less vulnerable now than they were when a similar war in West Asia drove up fuel prices, triggering stagflation in the 1970s; decades of reforms have improved efficiency, cut reliance on West Asian oil, built reserves, and expanded alternative energy, but oil is still king, say experts

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The toxic mix of higher prices and slower growth that made economic life so miserable a half century ago. File (Representational image) | Photo Credit: Reuters

The world economy is experiencing a disorienting flashback to the 1970s.

Oil prices are once again surging in the wake of **war in West Asia**, driving up the cost of gasoline, diesel and jet fuel and threatening a return to **stagflation** — the toxic mix of higher

prices and slower growth that made economic life so miserable a half century ago.

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